IOWN

The Morning Brief

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Ceasefire

A two-week halt to hostilities reshapes the risk landscape as negotiations begin in Islamabad today, Iran monetizes Hormuz with crypto tolls, and March CPI arrives at 8:30 AM.

S&P 500	BRENT CRUDE	GOLD	BITCOIN	FEAR & GREED
6,799 ↑0.58%	~$97 ↓ from $115 highs	~$4,750 ↑0.78%	~$72,000 ↑1.2%	16 · Extreme Fear

SECTION 01

Markets

THE CEASEFIRE RALLY HAS REWRITTEN THE TAPE IN EIGHT SESSIONS

The S&P 500 has recovered approximately 7% from its March 30 low near 6,341 to Thursday's close at approximately 6,799. The two-week ceasefire agreement, reached Tuesday through Pakistani mediation, catalyzed the sharpest rally since the conflict began. Thursday extended the gains: S&P +0.58%, Dow +0.57%, Nasdaq +0.68%, Russell +0.57%. UVXY fell 6.44% as volatility continued to compress. Discretionary (+1.73%) led all sectors, followed by industrials (+1.03%) and staples (+0.81%). Energy (–1.24%) was the sole sector in the red—the mirror image of the war's first five weeks when energy was consistently the only gainer. Brent crude has retreated from the March highs near $115 to approximately $97, though it remains well above the pre-war level near $72. Friday premarket is essentially flat (SPY –0.12%), with the market awaiting March CPI data at 8:30 AM ET before committing to the next leg. Fear & Greed has improved from prior extreme fear levels to 16—still extreme fear, but the trajectory is constructive.

THE ROTATION ACCELERATES — LRCX +4.98% LEADS A SEMICONDUCTOR REBOUND

LRCX surged 4.98% on Thursday, its strongest session in weeks, recovering a portion of the TurboQuant-driven selloff from late March. TEL gained 2.51%, PCAR added 2.30%, CAT rose 2.01%, and CHD gained 2.08%. IUSG (+0.74%) outperformed DVY (+0.20%)—growth has led dividend value for most of the ceasefire rally. The semiconductor thesis is reasserting: TSMC topped Q1 sales targets on strong AI chip demand, AMD gained 2.08%, ADI rose 1.49%, and KEYS added 1.45%. The AI capex cycle—ARM's in-house chip, GTC's $1 trillion pipeline, CPU pricing power—was never disrupted by the conflict; it was merely repriced for geopolitical risk. As that risk premium fades, the semi sleeve is repricing toward fundamentals.

NVDA gained 1.01% and TSM was essentially flat (–0.11%), consolidating near recent highs.

ENERGY GIVES BACK — BUT THE STRUCTURAL OVERHANG PERSISTS

VLO fell 1.89%, CVX declined 1.31%, and OKE dropped 0.68%. The energy sleeve has reversed from its conflict-era leadership as the ceasefire removes the most extreme supply disruption scenarios. However, the Strait of Hormuz remains far from normalized: only a handful of vessels have transited since the ceasefire was announced, insurance markets have not fully adjusted, and Saudi Arabia reports approximately 600,000 barrels per day of lost production capacity from strikes on its facilities. Analysts have cautioned that a prolonged Hormuz closure could keep Brent elevated well above pre-war levels through 2026. The energy sleeve is transitioning from a war-premium trade to a structural-recovery trade—a different investment case, but one that still supports elevated revenue for CVX, VLO, and OKE through at least mid-year.

IRAN'S CRYPTO TOLL SYSTEM IS A REAL-WORLD DIGITAL ASSET USE CASE

In one of the conflict's most unexpected developments, Iran's IRGC has implemented a cryptocurrency-based toll system for Strait of Hormuz transit, according to CoinDesk and Bloomberg. The system charges approximately $1 per barrel, with payments accepted in Bitcoin, USDT, or Chinese yuan. At current traffic levels, the toll could generate up to $20 million per day from oil tankers alone. Iran approved its "Strait of Hormuz Management Plan" in late March, codifying a five-tier nationality ranking system for transit access. The real-world adoption of crypto for sovereign toll collection is constructive for the digital asset thesis: IBIT gained 1.21% and ETHA added 0.30% on Thursday. Bitcoin is trading near $72,000. HUT surged 3.24%. However, COIN fell 3.47%—the Clarity Act overhang and regulatory uncertainty continue to weigh on crypto equity wrappers even as the underlying asset benefits from geopolitical adoption.

S&P 500	**6,799 · ↑~7% from Mar 30 low · Futures flat Fri AM**
BRENT CRUDE	**~$97 · Down from $115 highs · Ceasefire premium unwind**
GOLD	**~$4,750 · Recovering alongside equities**
CPI TODAY	**March data at 8:30 AM ET · Critical for Fed path**
FEAR & GREED	**16 · Improving from 8 low · Still extreme fear**
HORMUZ TOLLS	**~$1/barrel in BTC/crypto · $20M/day potential (CoinDesk)**

Forty-one days of war. One ceasefire. The market has recovered 7% in eight sessions, but the Strait is still barely open, the ceasefire is already fraying, and today's CPI will reveal how deeply the energy shock penetrated consumer prices. The portfolio was built for sustained uncertainty, not for a clean resolution—and the transition from war-time positioning to post-conflict normalization requires the same discipline as the initial construction. Think Like an Owner.

SECTION 02

Geopolitics

THE TWO-WEEK CEASEFIRE — A FRAMEWORK, NOT A RESOLUTION

The ceasefire agreement, mediated by Pakistan and announced April 8, calls for an immediate halt to hostilities, the reopening of the Strait of Hormuz with Iranian military coordination, and a 15–20 day negotiation window beginning today in Islamabad. Iran's Foreign Minister Araghchi stated that safe passage would be allowed through the Strait for the ceasefire's duration, subject to coordination with Iran's armed forces and technical limitations. Trump described Iran's 10-point proposal as a workable basis for negotiation. However, the ceasefire is already showing cracks: Iran's parliamentary speaker accused the US of three violations within 24 hours—continued Israeli strikes in Lebanon, a drone entering Iranian airspace, and denial of Iran's right to enrich uranium. Trump, in turn, stated that Iran was not fully upholding its terms. The fragility is inherent: the agreement does not address the Lebanon front, does not resolve the nuclear question, and creates only a temporary window rather than a permanent framework. For IOWN, the distinction between a ceasefire and a resolution is the key analytical point: the war premium has compressed but not disappeared, and the energy, defense, and gold sleeves retain their structural relevance even as the acute risk subsides.

NEGOTIATIONS BEGIN IN ISLAMABAD TODAY — THE CLOCK IS RUNNING

Friday, April 10 marks the beginning of formal US-Iran negotiations in Islamabad, the first direct or mediated talks since the war began on February 28. Iran has allocated two weeks for the negotiation period, which can be extended by mutual agreement. Tehran demands a binding UN Security Council resolution to codify any agreement into international law—a significant procedural requirement that adds complexity and time. The negotiations must address nuclear enrichment, Hormuz transit rights, reparations, and the status of Iranian proxy forces—each individually a multi-year negotiation topic. The market is pricing hope that this first contact produces enough progress to extend the ceasefire beyond two weeks. If talks collapse, the energy and defense trades reassert immediately.

THE DAMAGE INVENTORY — WHAT CANNOT BE REBUILT QUICKLY

Even with a permanent ceasefire, the war has inflicted structural damage that will take years to repair. Israel struck Asaluyeh, responsible for a significant share of Iran's petrochemical production capacity, according to Reuters. Saudi Arabia reports 600,000 barrels per day of lost capacity from refinery strikes. The aluminum smelters in UAE (EGA) and Bahrain (Alba) sustained significant damage. Hormuz transit, even under the ceasefire framework, is running at a fraction of pre-war levels. Global strategic petroleum reserves have been drawn down substantially. The physical infrastructure damage ensures that energy prices remain structurally elevated for quarters, not weeks, regardless of the diplomatic outcome. For IOWN's energy sleeve, this means CVX, VLO, and OKE are transitioning from a war-premium trade to a structural-supply-deficit trade—a different thesis, but one that continues to support their role in the portfolio.

CEASEFIRE	**Two weeks · Announced April 8 · Already showing cracks**
ISLAMABAD TALKS	**Begin today, Friday April 10 · First direct contact**
IRAN DEMANDS	**UNSC resolution · Reparations · Enrichment rights**
INFRASTRUCTURE DAMAGE	**Asaluyeh (50% petrochem) · Saudi – 600K bpd · EGA/Alba**
HORMUZ STATUS	**Partial reopening · Crypto tolls · Far below pre-war traffic**

SECTION 03

On Our Radar

1. March CPI arrives at 8:30 AM ET this morning — the inflation verdict on the war. The energy shock that began in early March should be reflected in headline CPI. Early April CPI nowcasts have risen, reflecting the energy shock's pass-through into consumer prices. If the print confirms acceleration, it cements the zero-cut Fed posture and could pressure rate-sensitive holdings (NEE, BKH, ATO) even as the ceasefire provides geopolitical relief. If core CPI remains contained, it suggests the energy pass-through was concentrated in headline rather than broad-based—a more manageable outcome for the Fed. Research Reveals Opportunities.

2. The ceasefire's durability is this week's key risk. Both sides have accused the other of violations within 48 hours of the agreement. If the ceasefire holds through the weekend and talks produce a framework for extension, the relief rally could continue into next week. If it collapses, the market gives back the 7% recovery. The Warsh Fed Chair confirmation hearing, originally set for April 16 but reportedly delayed pending paperwork, remains a near-term catalyst for rate expectations. Avoid Erosion.

3. TSMC Q1 sales topped targets on AI demand — semi earnings season approaches. The semiconductor recovery trade has been the strongest non-energy theme of the past two weeks. LRCX +4.98% Thursday, ADI +1.49%, KEYS +1.45%. TSMC's results confirm that AI infrastructure spending continued through the conflict. Q1 earnings season begins in earnest next week, and the semi sleeve's fundamentals could provide the next leg of the recovery if demand data holds. **The physical world matters.**

4. Iran's crypto toll system has structural implications for digital assets. The IRGC's Hormuz toll system, charging approximately $1 per barrel in Bitcoin or USDT, represents one of the most significant real-world sovereign adoption events in crypto history. At scale, it could generate $600–$800 million per month in crypto flows. This is constructive for the underlying asset (BTC near $72,000) even as equity wrappers (COIN –3.47%) face separate regulatory headwinds from the Clarity Act. Think Like an Owner.

5. The portfolio's transition from war-time to recovery positioning begins now. During the conflict, the energy and defense sleeves carried the portfolio while growth and tech absorbed the damage. The ceasefire inverts the leadership: growth and semis are recovering while energy gives back gains. The dividend sleeve has outperformed throughout, providing the structural floor that neither the war trade nor the peace trade disrupted. The coming weeks will test whether the ceasefire produces a durable normalization or merely a pause before the next escalation. Either way, the construction holds. **Simplicity Over Complexity.**

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